

for the AQR Momentum Index would have put it at a disadvantage to the Russell 1000 index on a risk-adjusted basis.

The simple addition of absolute momentum to the Russell 1000 Index gives a higher return than the AQR Momentum Index or the Russell 1000 Index, as well as a much lower standard deviation and a greatly reduced maximum drawdown. The absolute momentum Sharpe ratio is also much higher. Transaction costs of using our simple absolute momentum strategy would be negligible, and there would be no fees incurred from managing a large portfolio of individual stocks. There seems little reason to choose an individual stock momentum strategy over using a low-cost, broad-based stock index combined with simple absolute momentum.

In their 2014 working paper “Fact, Fiction, and Momentum Investing,” Asness, Frazzini, Israel, and Moskowitz of AQR argue that momentum applied to individual stocks is worthwhile even if it were to show a zero return, provided one combines momentum stocks with value stocks.⁹ This is because value and momentum exhibit a pronounced negative correlation.

Table 9.3 shows the AQR Momentum Index, the Russell 1000 Value Index, and a 50/50 combination of momentum and value as used in Asness et al. (2013). We see that value combined with momentum does give a slightly higher Sharpe ratio than either value or momentum alone. However, there is little or no advantage with respect to maximum drawdown, and results still pale in comparison to absolute momentum combined with the Russell 1000 Index.

Table 9.3 AQR Momentum, Russell 1000 Value, 50/50 Momentum, and Value, 1980–2013

	AQR Momentum	Russell 1000 Value	50/50 Momentum and Value	Russell 1000 with Abs Momentum
Annual return	15.14	13.52	14.33	15.92
Annual std dev	18.27	14.87	15.71	12.57
Annual Sharpe	0.49	0.53	0.55	0.80
Max drawdown	−51.02	−55.56	−51.47	−23.41